



IRON & STEEL: Imports have risen sharply with China pushing its growing West-bound inventories into India



TOYS, SPORTS: Chinese toys with low landed prices have captured the Indian market and the consumer mindset

Source: Ministry of Commerce

Dumping DRAGON

Cheap Chinese imports pose an increasing risk to domestic industry in the post-meltdown scenario as the Middle Kingdom looks East to offset losses

By Nivedita Mukherjee

Trade tensions between Delhi and Beijing may have eased following India's decision to lift restrictions on imports of Chinese toys but even as the two big trading partners smoke the peace pipe, 300-400 containers of Chinese toys are waiting at ports to be off-loaded. A 40,000-tonne consignment of soda ash may be making its way to be dumped at some Indian port. It will be taken up dirt cheap by a steel producer struggling to cope with the shortages of this critical component of steel production.

It isn't just low-priced toys and soda ash that have invaded the market place. Linen fabrics, batteries, porcelain tiles, compact fluorescent lamps, machinery, tyres, penicillin, radio, torches and DVD players imported from the Middle Kingdom are reigning supreme in the Indian market. The threat is now bigger than ever in a post-

meltdown world that has shrunk China's markets. The fears are not exaggerated. According to Commerce Secretary G.K. Pillai, there has already been an overall 35 per cent surge in imports from China between April and December 2008 across all goods, particularly chemicals, silk, auto parts and machinery. Rajamani Krishnamurti, associate vice-president of Jindal Steel, says steel imports from China have increased by 44 per cent during October-December. Nothing surprising, says Ajay Sahai, director-general of the Federation of Indian Exporters Organisation. "China has a vast manufacturing base and economies of scale that despite the slowdown offer a wider basket of goods which are 28-33 per cent cheaper than in India," he adds.

With India lacking stringent quality testing standards, there is nothing to stop toxic toys or machinery with poor life-cycles from landing in bulk

quantities. Sources in Larsen & Toubro point out how material and equipment imported by Durgapur Projects Limited from Dong Fong Company in China choked its power plants. Even a health giant like Wockhardt had to shut down its Rs 100-crore plant producing acetic acid for Vitamin C after a flood of Chinese imports.

No surprise then that industry wants more incentives to take on Chinese exporters. Says Amit Mitra, FICCI secretary-general, "A ban is no solution, but the Government must look into the issue of dumping as it is affecting domestic producers." The urgency has found an echo in the Ministry of Commerce. Dumping duty has been imposed on 15 goods and inquiry has been initiated in 13 cases in the last few months, says R. Gopalan, director general, anti-dumping. Besides, India's stand has been made clear to China, assures Pillai. "We say look, we don't